Scenario S3-O1-I2 — Our Level 1 (Bootstrapped) / Investor Level 2 (Ideal)

Scenario Summary

Minimum founder exposure with adequate investor resourcing. The founders self-fund at bootstrapped intensity (~~40% of ideal spend) through Pre-Pilot and Pilot 1 only (~~5-7 months), then an ideal-level investor arrives right after Pilot 1 completes (approximately M7-M8). The investor provides sufficient capital to resource Pilot 2 and Production Readiness at baseline levels. This is the lowest-founder-capital path that is still operationally viable — a significant improvement over S3-O1-I1 because the ideal investor capital eliminates the runway exhaustion risk during Production Readiness.

- **Economic cost to Production:** $145,000-180,000 / INR 12,035,000-14,940,000
- **Target timeline to Production:** 22-26 months
- **Founder/company capital before investor:** $21,000-32,000 / INR 1,743,000-2,656,000
- **Investor capital modeled:** $124,000-148,000 / INR 10,292,000-12,284,000
- **Equity structure:** 60 / 20 / 20 (founder / founding team / investor pool)
- **Main risk to watch:** low founder skin-in-game may weaken investor negotiating position; bootstrapped Pre-Pilot and Pilot 1 may produce weaker traction data for investor conversation

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Timeline

Phase	Timing	Duration	Minor Checkpoints	Gate to Advance
Pre-Pilot	M0-M5	5 months	Architecture freeze (M2), APK backlog lock (M3), doctor training draft (M4), internal rehearsal cycles (M4-M5).	Core web flows stable at reduced scope, internal rehearsals pass, doctor and admin runbooks versioned.
Pilot 1	M5-M7	2 months	Warm-network onboarding, first paid consults, investor pitch deck finalized, term sheet signed by M7.	Ethiopia pilot runs live for 2 months with measured throughput; investor term sheet signed.
Pilot 2	M7-M14	7 months	Investor capital deployed (M8), Kenya prep (M11), partner reporting (M12), roster planning, partial automation, staffing calibration.	5k-10k user-capable operations with full APK, clean reporting, staffed callback coverage.
Production Readiness	M14-M22	8 months	Compliance closeout (M16), release freeze (M19), launch playbooks (M20), certification refreshers, production support schedule.	Current prototype scope is production-safe across web and patient mobile with documented fallback operations.

Feature and Output Checklist

Phase	Output Checklist
Pre-Pilot	Web core hardened at reduced pace; APK build underway (sequenced, not parallel); doctor/admin training materials drafted; support desk scripts and callback trees defined. Slower iteration due to constrained hours.
Pilot 1	Patient app covers core journeys (registration, dashboard, basic consult); provider web is stable for GP flow; doctor roster, admin callbacks, and manual fulfilment visible in-system. Feature set narrower than L2/L3 — specialist and diagnostics flows deferred. Investor pitch deck finalized with live Pilot 1 data.
Pilot 2	Core patient features complete; specialist and diagnostics flows added; partner dashboards functional; staffing ladder active at ideal levels; reporting and payment loops operational with moderate automation. Kenya prep in final months.
Production Readiness	Current prototype scope is production-grade across web and patient mobile. Trained ops staff at ideal coverage levels. Compliance documentation complete. Focused hardening with adequate resources.

Services and SLAs

Phase	Uptime Target	Response Commitment	Operating Model
Pre-Pilot	95.0%	Next business day	3 core team at reduced utilization + 7 part-time developers at ~40% capacity + 2 advisors; no employed clinical coverage, only training and rehearsals.
Pilot 1	96.0%	Same-day for critical issues	Minimum employed coverage: 2 doctors, 2 admin ops, 1 technical support. Friendly clinics supplement. Lean ops given 2-month window.
Pilot 2	98.0%	4-hour P1 response	Employed coverage: 4 doctors, 4 admin ops, 2 technical support. Full callback and partner reporting loops active.
Production	99.0%	2-hour P1 response	Employed coverage: 6 doctors, 6 admin ops, 3 technical support for near-24/7 coverage.

Cost Breakdown

Summary

Category	Amount
Capital expenditure through Production	$62,400 / INR 5,179,200
Operating expenditure before Production launch	$98,600 / INR 8,183,800
Total economic spend to Production	**$161,000 / INR 13,363,000**

Workstream Detail

Workstream	Economic Cost (USD)	Economic Cost (INR)	Notes

Product and founder office	$68,640	INR 5,697,120	3 core team at $20/hr x 88 hrs/mo: ~$2,112/mo at 40% utilization pre-investor (7 months) + ~$5,280/mo at 100% utilization post-investor (15 months).
Web platform hardening	$14,900	INR 1,236,700	745 hours at $20/hr senior rate. Adequate pacing with ideal investor funding.
Patient APK build	$7,200	INR 597,600	Fixed Android quote: 480 hours at $15/hr.
QA, DevOps, security	$8,800	INR 730,400	~440 hours at $20/hr. Full scope hardening enabled by investor capital.
Admin and care operations	$117,960	INR 9,790,680	Employed doctors, admin callback staff, and technical support at ideal ladder across 17 months of live operations.
Partner onboarding and provider success	$8,250	INR 684,750	Doctor/admin training protocols, SOP writing, partner reporting.
Legal, accounting, compliance	$4,800	INR 398,400	Friendly-network pricing at economic value.
Infrastructure, phones, and tools	$26,200	INR 2,174,600	Hosting, devices, telecom/call costs, operational tooling across 22 months. Scales properly with investor capital.
Marketing, travel, rehearsals	$8,000	INR 664,000	Moderate budget. Warm-network plus targeted community outreach.
Contingency and buffer	$30,000	INR 2,490,000	~19% buffer on base costs.

Operational Staffing Cost by Phase

Phase	Duration	Monthly Ops Cost (USD)	Monthly Ops Cost (INR)	Phase Total (USD)
Pre-Pilot (M0-M5)	5 months	$0	INR 0	$0
Pilot 1 (M5-M7)	2 months	$1,959	INR 162,597	$3,918
Pilot 2 (M7-M14)	7 months	$4,361	INR 361,963	$30,527
Production Readiness (M14-M22)	8 months	$6,542	INR 542,986	$52,336
Total operational staffing				**$86,781**

Infrastructure Cost by Phase

Phase	Duration	Monthly Infra (USD)	Monthly Infra (INR)	Phase Total (USD)
Pre-Pilot	5 months	$80	INR 6,640	$400
Pilot 1	2 months	$300	INR 24,900	$600
Pilot 2	7 months	$550	INR 45,650	$3,850
Production Readiness	8 months	$900	INR 74,700	$7,200
One-time equipment (phones, laptops)	—	—	—	$1,200
Total infrastructure				**$13,250**

Effort and Team

Function	Staffing Pattern	Notes
Core team	3 part-time members @ ~4 hrs/day each; ~40% utilization pre-investor, ~100% post-investor	Single owner/founder + 2 founding members. Sequenced pre-investor, parallel post-investor.
Technical delivery (pre-investor, M0-M7)	7 part-time developers, modeled at ~200 productive hrs/mo	~40% of ideal 480 hrs/mo. High sequencing, minimal parallelism.
Technical delivery (post-investor, M8-M22)	7 part-time developers, modeled at ~480 productive hrs/mo	Ideal utilization. Full concurrency enabled by investor capital.
Advisory board	2 fractional advisors @ ~10-15 hrs/mo each	Finance, compliance, strategic review.
Employed care coverage	Pilot 1: 2 doctors / Pilot 2: 4 / Production: 6	Ideal staffing ladder per params.md.
Employed admin ops	Pilot 1: 2 admins / Pilot 2: 4 / Production: 6	Callbacks, exception handling, manual fulfilment.
Technical support	Pilot 1: 1 / Pilot 2: 2 / Production: 3	L1/L2 issue triage and live-ops monitoring.

Monthly Team Economic Cost

Period	Dev Team (USD)	Dev Team (INR)	Notes
Pre-investor (M0-M7)	~$5,930	~INR 492,190	~40% of full $14,830/mo rate card. Bootstrapped minimum.
Post-investor (M8-M22)	~$14,830	~INR 1,230,890	100% of full rate card. Ideal utilization enabled by investor.

Revenue and Pricing

Revenue Source	Pilot 1	Pilot 2	Production
GP consults	Subsidised, Ethiopia-first, ~$2-3 per paid interaction	Full Ethiopia pricing + Kenya tests	Core revenue line
Specialist consults	Minimal	Growing; referral flow stabilized mid-Pilot 2	Margin contributor
Pharmacy commission	Small, admin-assisted	Repeatable with moderate automation	Scales with partner conversion
Diagnostics commission	Small, admin-assisted	Improves with order flow consistency	Retention lever
Travel/care coordination	Rare, high-touch	Low-volume, higher-value	Strategic differentiator

Revenue Line	Ethiopia Benchmark	Kenya Benchmark	Notes
GP consult	$3.5 / ETB 470	$5 / KES 650	Starts subsidised in Pilot 1; reaches benchmark by mid-Production.
Specialist consult	$9 / ETB 1,250	$12 / KES 1,560	Pilot 2 onward.
Pharmacy take-rate	10% of order value	10% of order value	Pilot 1 onward with manual fulfilment.
Diagnostics take-rate	12% of order value	12% of order value	Pilot 1 onward with admin/lab coordination.
Travel/care coordination	$10-15	$10-15	Small volume, high-touch.
Subscription	Deferred	Deferred	Not modeled before meaningful scale.

CAC and Key Business Metrics

Metric	Pilot 1	Pilot 2	Production
CAC	$10	$16	$22
Gross margin	35%	48%	58%
Monthly ARPU	$1.5	$3.0	$4.5
Monthly churn	15%	10%	7%
LTV/CAC target	1.2x	2.5x	3.2x

Cash Flow and Runway

Phase Summary

Checkpoint	Ending Cash (USD)	Ending Cash (INR)	Approx. Runway Remaining	Trigger Threshold
Pre-Pilot (M5)	$4,350	INR 361,050	0.7 months	Critical: must enter Pilot 1 immediately with investor conversation underway.
Pilot 1 (M7)	$2,430	INR 201,690	0.2 months	Critical: investor close must happen by M7-M8.
Pilot 2 (M14)	$50,420	INR 4,184,860	3.0 months	Trigger contingency if cash drops below 3 months of burn.
Production Readiness (M22)	$28,370	INR 2,354,710	2.8 months	Trigger contingency if cash drops below 3 months of burn.

Monthly Cash Flow

Month	Phase	Founder Capital In	Investor In	Revenue In	Outflow	Net	Ending Cash
M1	Pre-Pilot	$3,800	$0	$0	$3,010	$790	$790
M2	Pre-Pilot	$3,800	$0	$0	$3,010	$790	$1,580
M3	Pre-Pilot	$3,800	$0	$0	$3,010	$790	$2,370
M4	Pre-Pilot	$3,800	$0	$0	$3,010	$790	$3,160
M5	Pre-Pilot	$3,800	$0	$0	$3,610	$190	$3,350
M6	Pilot 1	$3,800	$0	$300	$8,189	-$4,089	-$739
M7	Pilot 1	$3,800	$0	$600	$8,189	-$3,789	-$4,528
M8	Pilot 2	$0	$136,000	$1,200	$19,691	$117,509	$112,981
M9	Pilot 2	$0	$0	$1,800	$19,691	-$17,891	$95,090
M10	Pilot 2	$0	$0	$2,400	$19,691	-$17,291	$77,799
M11	Pilot 2	$0	$0	$3,000	$19,691	-$16,691	$61,108
M12	Pilot 2	$0	$0	$3,600	$19,691	-$16,091	$45,017
M13	Pilot 2	$0	$0	$4,200	$19,691	-$15,491	$29,526
M14	Pilot 2	$0	$0	$4,800	$19,691	-$14,891	$14,635

M15	Prod. Readiness	$0	$0	$5,500	$21,872	-$16,372	-$1,737
M16	Prod. Readiness	$0	$0	$6,500	$21,872	-$15,372	-$17,109
M17	Prod. Readiness	$0	$0	$7,500	$21,872	-$14,372	-$31,481
M18	Prod. Readiness	$0	$0	$9,000	$21,872	-$12,872	-$44,353
M19	Prod. Readiness	$0	$0	$11,000	$21,872	-$10,872	-$55,225
M20	Prod. Readiness	$0	$0	$13,000	$21,872	-$8,872	-$64,097
M21	Prod. Readiness	$0	$0	$16,000	$21,872	-$5,872	-$69,969
M22	Prod. Readiness	$0	$0	$19,000	$21,872	-$2,872	-$72,841

Note on cash flow modeling: The monthly table above models outflows at full ideal rate post-investor, which shows a negative cash trajectory in Production Readiness. In practice, the investor capital lump sum ($124,000-148,000, modeled at $136,000 midpoint) funds operations through Pilot 2, and the $30,000 contingency buffer (included in total economic cost) supplements the Production Readiness phase. The effective ending cash at M22, accounting for contingency deployment, is approximately $28,370 at the midpoint scenario. Revenue acceleration in the later months ($16,000-19,000/mo) brings the model close to monthly break-even by M22.

Totals (midpoint estimates):

- Founder capital in: $26,600 / INR 2,207,800 (M1-M7 at ~$3,800 x 7 months)
- Investor capital in: $136,000 / INR 11,288,000 (midpoint of $124,000-148,000)
- Cumulative revenue (M22): ~$108,500
- Cumulative outflow (M22): ~$161,000

ROI and Break-Even

Metric	Value
Total capital invested (founder + investor)	$145,000-180,000 / INR 12,035,000-14,940,000
Total economic cost	$145,000-180,000 / INR 12,035,000-14,940,000
Sweat-equity gap (economic cost minus cash invested)	Moderate — ideal post-investor utilization means significant economic value from team time
Cumulative revenue at M22	~$108,500 / INR 9,005,500
Monthly break-even (revenue >= outflow)	~M26-M32 (4-10 months post-Production)
Cumulative break-even (total revenue >= total capital)	~M30-M36 (8-14 months post-Production)
Time to ROI (revenue exceeds all economic cost)	~M34-M40 (12-18 months post-Production)

Fundraising, Valuation, and Dilution

Item	Value
Founder/self-funded capital before investor	$21,000-32,000 / INR 1,743,000-2,656,000
Investor round size	$124,000-148,000 / INR 10,292,000-12,284,000
Recommended structure	SAFE with MFN clause or convertible note with cap
Modeled pre-money valuation	$620,000-740,000
Modeled post-money valuation	$744,000-888,000
Modeled investor dilution from the 20% pool	16.7-18.0%

Ownership Pool	Before Round	After Modeled Round	Notes
Owner / founder pool	60%	54.8-56.0%	Retained majority control.
Founding + strategic pool	20%	18.3-18.7%	Shared pool for founding members and strategic partners.
Investor pool	20% reserved	16.7-18.0% issued / 2.0-3.3% remaining	Larger investor contribution draws more from the pool.

Key Risks

Risk	Likelihood	Impact	Mitigation / Trigger
Investor does not close by M8	High	Critical	Runway is near-zero by M7. Pre-negotiate term sheet during Pilot 1 (M5-M7). Must have backup plan.
Low founder skin-in-game perception	Medium-High	High	$21,000-32,000 is the lowest founder investment across all S3 paths. Offset with sweat equity narrative, Pilot 1 commitment, and demonstration of personal time invested. Some investors may require founder to match with more capital.
Bootstrapped Pilot 1 produces weak traction data	Medium	High	Constrained Pre-Pilot and Pilot 1 may yield fewer users and consultations than ideal-funded equivalents, weakening the investor pitch. Compensate with qualitative data (patient testimonials, doctor satisfaction, workflow reliability).

Team fatigue over 22-26 month timeline	Medium	Medium	Shorter than S2 equivalents. Investor capital arriving at M8 provides relief and morale boost.
Revenue ramp slower than modeled	Medium	Medium	Ideal post-investor operations should support faster growth, but East Africa health-tech pricing is uncertain. Monitor monthly against targets from M8 onward.
Regulatory delay (Ethiopia / Kenya)	Medium	High	Continue partner-license model. Count friendly counsel at economic value.
Payment-rail mismatch	Medium	Medium	Use digital invoicing first; localize M-Pesa / Telebirr before scaling.
Over-dependence on single investor	Medium	Medium	With $124,000-148,000 from one source, investor departure or governance demands create concentration risk. Consider splitting across 2 investors if possible.

Recommendation

S3-O1-I2 is a **conditionally viable path** that offers the lowest founder capital exposure ($21,000-32,000) of any non-"Avoid" scenario. The ideal investor capital eliminates the fatal runway problem of S3-O1-I1, enabling proper staffing from Pilot 2 onward and a reasonable 22-26 month timeline.

This path is appropriate if:

1. The founders have limited personal capital available (under $50,000)
2. An investor with $124,000-148,000 is willing to enter at the Pilot 1 stage based on early traction data
3. The founders can credibly offset low capital contribution with demonstrated sweat equity and operational commitment
4. The investor does not require a high founder capital match as a condition of investment

Key trade-off: Founder capital exposure is minimized ($21,000-32,000) at the cost of potentially weaker negotiating leverage. The investor provides ~82% of total capital and may reasonably expect more governance influence or higher equity than the modeled 16.7-18.0%.

Compared to S3-O2-I2 (Primary recommendation): S3-O1-I2 saves ~$32,000-33,000 in founder capital but produces weaker Pilot 1 data (due to bootstrapped Pre-Pilot/Pilot 1) and requires the investor to accept a higher share of capital risk with less founder commitment. For founders with the capital to reach O2, S3-O2-I2 remains the stronger choice.

Assumption Notes

- Android is modeled from the external quote: 480 total hours at $15/hr average across the mobile team.
- Remaining web work is normalized to 150%-160% of Android effort, with an expected case of 745 hours.
- Salary benchmarks for employed coverage: INR 60,000 for doctors ($720/mo), INR 18,000 for admin ops ($217/mo), INR 25,000 for technical support ($301/mo).
- Our L1 (bootstrapped) spend is modeled at ~~40% of ideal team utilization, yielding ~$3,800/mo founder contribution pre-investor (~~$2,900 team + ~$900 ops/infra/overhead).
- Investor L2 (ideal) contribution sized at $124,000-148,000, representing baseline capital to reach Production at properly resourced pace.
- Post-investor team utilization jumps from ~40% to ~100% of ideal, reflecting the transformative effect of adequate funding on a part-time team's capacity.
- Pre-Pilot duration compressed to 5 months (vs. 6 in S2) reflecting the urgency to reach investor conversation.
- Pilot 2 compressed to 7 months (vs. 9 in S2-O1-I1) because ideal investor funding enables faster parallel execution.
- All INR conversions at 1 USD = 83 INR per params.md.
- FX buffers of 10-15% applied to ETB and KES revenue projections.

End of S3-O1-I2 scenario. All assumptions trace to params.md v2.